# Apollo Micro Systems Ltd

CONCALL TRACKER Defence & aerospace electronics - Hyderabad | Screener: APOLLO / BSE 540879 | Report date: 11 Jul 2026

## 1. Snapshot

**What the business does (in one line):** Apollo Micro Systems designs and builds the **electronic and electro-mechanical "brains" that sit inside India's home-made weapons** - missiles, torpedoes, naval mines, air-defence systems - and sells them to government defence bodies (DRDO) and defence public-sector firms (Bharat Dynamics, Bharat Electronics, the Navy). In 41 years it has worked its way into roughly two-thirds of the electronics on nearly every indigenous Indian missile programme, and is now moving up from being a parts-supplier to building whole weapons itself.

| Number (latest) | Value | Plain-English read |
|---|---|---|
| Market value of the company | Rs 15,193 crore | What the whole company is worth on the stock market today. |
| Share price / valuation (P/E) | Rs 409 \| 126x | Investors pay about **126 rupees for every 1 rupee of yearly profit** - a very expensive, priced-for-perfection tag. |
| Sales, FY26 (year to Mar 2026) | Rs 765 cr standalone (Rs 904 cr with new arm) | Total sales for the year - up about **61%** on the group, one of its best-ever years. |
| Net profit, FY26 | Rs 121 cr standalone (Rs 107 cr group) | The final yearly profit - it **roughly doubled**. The group figure is a bit lower because the newly-bought explosives arm is still loss-making. |
| Operating margin (OPM) | 28% | Out of every Rs 100 of sales, Rs 28 is left as operating profit before interest and tax - up from 23%, a genuine improvement. |
| Borrowings | Rs 489 cr | Money owed to lenders - up from Rs 295 cr a year ago; debt is climbing to feed the growth. |
| Operating cash flow, FY26 | minus Rs 167 cr | **The business burned cash**: profit is on paper, but money got stuck in inventory and unpaid bills rather than coming in. |

## 2. Concall coverage

Six earnings calls read, covering the last ~1.5 years (every quarter from Q3 FY25 to Q4 FY26). Screener also lists one very old Nov-2018 call with no transcript; ignored as out-of-period.

| Quarter | Call date | Transcript read? |
|---|---|---|
| Q3 FY25 | 08 Feb 2025 | Yes |
| Q4 & FY25 | 26 May 2025 | Yes |
| Q1 FY26 | 04 Aug 2025 | Yes |
| Q2 FY26 | 05 Nov 2025 | Yes |
| Q3 FY26 | 09 Feb 2026 | Yes |
| Q4 FY26 (latest) | 19 May 2026 | Yes |

### ★ Latest concall highlights - Q4 FY26 (19 May 2026)

- **Record year and quarter.** Group sales for the January-March quarter were **Rs 293 cr, up 81%** on the same quarter last year, and quarterly profit was **Rs 37 cr, up 164%** - the highest ever. Full-year profit margin came in at 16%, beating management's own 15% promise.
- **Order book Rs 1,432 cr** (as of 31 March) - the pile of confirmed future work, up from about Rs 615 cr a year earlier. This is the main reason to believe growth continues; roughly 1.8x annual sales of visibility.
- **Lifetime manufacturing licence won.** Got a government (DPIIT) licence covering drones, radars, torpedoes, mines, missiles, rockets, loitering munitions and more - a permanent permit that lets it build full weapons, not just their electronics.
- **"Vision 2036" unveiled** - a 10-year plan to become a global weapons maker with its own name on the platform, expanding into land systems and exports. Ambitious, but a long-dated story with no financial targets attached yet.
- **Honest tone, but two soft spots admitted.** Standalone sales grew ~36%, **below the promised 45-50%**, because some big fourth-quarter orders and approvals slipped. The much-awaited large naval-mine order is still awaiting final government (DAC) sign-off - "expected any moment".

### Business mix & capacity (quick facts)

**Domestic vs exports:** Almost entirely **domestic (India)**. The only export is a maiden ~Rs 114 cr avionics development order won in FY26; management says the present factory cannot yet take large foreign orders. So roughly 98%+ of sales are still within India, with exports only just beginning.

**Capacity:** Management says it is "not a product company" so it declines to quote a single utilisation %. The key fact: its new **Unit-3 plant will lift capacity about 8x** (up to 12-13x with newly-acquired land) and is due to be **fully operational by June 2026** - i.e. plenty of head-room to grow output, but only after heavy spending is finished.

## 3. Earning-trigger thesis

### The core trigger: a broad, entrenched foothold across India's missile & naval programmes now flowing into production

Apollo's pitch, repeated on every call, is that it has quietly embedded itself into **~63% of the electronics on almost every home-made Indian missile** plus torpedoes, naval mines and air-defence systems. For years these were low-value "development" jobs; now a wave of them (QRSAM and Akash-NG air defence, the Vighna naval mine, heavyweight/light torpedoes, Pinaka, Kusha, ATGMs) is **maturing into higher-value bulk production**. On top of this, it bought explosives-maker IDL to add warheads and ammunition and become a **full weapon-system maker**, and is building 8x more capacity. The evidence it is real: sales grew 51% then 61%, profit doubled, margins rose from 23% to 28%, and the order book more than doubled to Rs 1,432 cr.

| Trigger | What management said | Evidence so far | Time horizon | Strength |
|---|---|---|---|---|
| Programs moving from development to bulk production | Higher-value production orders lift both sales and margins | Playing out - OPM 23%→28%, sales +61%, order book Rs 615cr→Rs 1,432cr | Now & next 2-3 yrs | **Strong** - visible in the numbers |
| IDL Explosives acquisition (vertical integration) | Adds warheads/ammunition; makes Apollo a full weapon OEM | Done (Rs 107 cr paid) but IDL still loss-making; turnaround not yet shown | 1-2 yrs | **Moderate** - promising but unproven |
| Large naval-mine (MIGM/Vighna) & other "big-ticket" orders | ~Rs 4,000 cr combined (shared with BDL); "any moment" | Repeatedly delayed for 4+ quarters; still awaiting DAC approval | Slipping | **Unproven** - kept slipping |
| Capacity 8x (Unit-3) + exports + Vision 2036 | 8x output, global OEM, land/air/sea expansion | Unit-3 near-complete; one maiden export order only | 2-10 yrs | **Moderate** - early, capital-heavy |

## 4. Management consistency scorecard

| Period | What was promised | What actually happened | Verdict |
|---|---|---|---|
| Every call | 45-50% yearly sales growth (standalone) | FY26 came in ~36% - management admitted missing by "8-9%" as Q4 orders slipped | **Missed** |
| May 2025 | Group revenue would "double" in FY26 with IDL | Group sales +61% (Rs 904 cr) - strong, but short of doubling | **Partly** |
| Every call | 15% net-profit margin (standalone) | Delivered 16% - beat the promise | **Delivered** |
| Feb-Nov 2025 | Promoter share-pledge to be brought to ZERO by FY26 | Still ~39% pledged in May 2026; deadline quietly pushed to FY27 | **Missed** |
| 2025 calls | Big naval-mine order "by March / by Q1" | Still not received by May 2026 - awaiting government sign-off | **Missed** (delayed) |
| 2025 calls | IDL to turn EBITDA-positive "in coming quarters" | Still loss-making; guidance deferred to Q3 FY27 | **Too-early** |

**Narrative drift:** The *direction* of the story has stayed remarkably steady - same programmes, same "development-to-production + become a full weapons maker" thesis, and the headline growth and margins have genuinely been delivered (they even beat the profit-margin target). Credit too for an unusually candid tone: on the latest call management openly admitted "we do make mistakes" and owned the growth miss rather than glossing over it. **But the promises with hard deadlines have a poor hit-rate** - the sales-growth guidance was missed, the "double revenue" claim fell short, the promoter-pledge-to-zero pledge has been broken and re-promised for over a year, and the flagship large orders keep sliding right. So management is honest and directionally consistent, but not reliable on specifics and timing.

## 5. Bottom line - two verdicts

Durable earning trigger? **YES**

There is a concrete, still-live driver with hard evidence it is already playing out: a genuinely entrenched position across almost every indigenous missile and naval programme, a wave of those programmes moving into higher-margin production, an order book that has more than doubled to Rs 1,432 cr, and two straight years of 50%+ sales growth with doubling profit and rising margins. Backed by India's multi-year defence-indigenisation push, this is a real and durable trigger - not a hope.

### Management consistent? **MAYBE**

Mixed. Management is honest, transparent and has delivered the big picture - strong growth, expanding margins, and it beat its 15% profit-margin promise. But its record on specific, dated promises is weak: it missed its own 45-50% growth guidance, fell short of the "double revenue" claim, and - most tellingly - has broken and re-promised the "promoter pledge to zero" for over a year while the flagship large orders keep slipping. Steady story, unreliable on timing.

**Watch-outs for an investor (not verdicts):** the shares are priced at a very rich ~126x earnings; the business is **burning cash** (operating cash flow minus Rs 167 cr in FY26, deeply negative free cash flow) with a very long working-capital cycle (~500 days); debt is rising and the company has leaned on large share sales and warrants; promoter pledge is still high at ~39%; and the newly-bought IDL is still loss-making. The engine is real, but it runs hot and the price leaves no room for slips.

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Sources: Screener.in financial snapshot and six concall transcripts (Q3 FY25 08-Feb-2025 through Q4 FY26 19-May-2026), Apollo Micro Systems Ltd. Figures are as stated by the company/Screener; standalone vs consolidated noted where they differ. **This is not investment advice. Do your own due diligence.**